

Apple and the CCCTB: Can the European Commission Have Both?

by Emmanuel Llinares and Guillaume Madelpuech

Reprinted from *Tax Notes Int'l*, February 6, 2017, p. 557

FEATURED PERSPECTIVE

Apple and the CCCTB: Can the European Commission Have Both?

by Emmanuel Llinares and Guillaume Madelpuech

Emmanuel Llinares is the chair of and Guillaume Madelpuech is a principal with NERA Economic Consulting's transfer pricing practice in Paris.

This article reflects the views of the authors and not necessarily the views of NERA Economic Consulting.

In recent public decisions on state aid, the European Commission has relied on the idea that the arm's-length principle not only applied as a result of domestic tax law or tax treaties, but stemmed from EU fundamental law. At the same time, the commission is relaunching the common consolidated corporate tax base (CCCTB), a formulary apportionment system that effectively vitiates the arm's-length principle. In this article, the authors discuss how this contradiction creates another obstacle for the CCCTB.

International tax is experiencing an unprecedented period of change. The change can be seen in the progress of the OECD/G-20 base erosion and profit-shifting action plan. The European Commission has also brought its weight into the international tax arena. Among its recent initiatives aimed at “fairer, simpler and more effective corporate taxation” in the EU, two initiatives may have particularly significant consequences on the future of international taxation within and outside of the EU.

The first initiative involves the competition directorate's (DG Comp) new stance on tax- and transfer pricing-related state aid inquiries. Examples include:

- the highly publicized €13 billion Apple case (SA.38373);

- the Starbucks case (SA.38374);
- the Fiat case (SA.38375);
- the Amazon case (SA.38944);
- the McDonald's case (SA.38945);
- the Belgian excess profit case (SA.37667); and
- the Engie case (SA.44888).

The second initiative is the contemplated relaunch of the common consolidated corporate tax base, announced on October 25, 2016, and led by the directorate on taxation and customs (DG TAXUD). The plan features a two-step approach. The first step focuses on defining a common corporate tax base (CCTB).¹ The second step, which would only launch after satisfactory completion of the first step, involves defining a consolidation mechanism, the common consolidated corporate tax base (CCCTB).² Under the second step, corporate income taxation would be managed through an apportionment mechanism that would be independent from and unrelated to methods used to price intragroup transactions.

A number of voices have praised these supposedly complementary initiatives, viewing the state aid as cases “fixing the past,” while the CCCTB addresses the future. But can this view withstand scrutiny?

As economists who spend a significant amount of time on transfer-pricing-related matters, we focus in this article on the arm's-length principle. The arm's-length principle contends that, when determining profit

¹Proposal for a Council Directive on a Common Corporate Tax Base, COM(2016) 685 final 2016/0337 (CNS) (Oct. 25, 2016).

²Proposal for a Council Directive on a Common Corporate Tax Base, COM(2016) 683 final 2016/0336 (CNS) (Oct. 25, 2016).

for purposes of corporate income tax, the terms and conditions (including the price) of intercompany dealings should be set as if the parties to the dealings had been unrelated. This is the core principle for any transfer pricing analysis and a key objective of international tax policy. The arm's-length principle fosters economic efficiency by minimizing distortions to the economy and preventing economic decisions based on taxation and attempts to avoid taxation.

The Arm's-Length Principle and EU Law

The decisions in the Apple, Fiat, Starbucks, and Belgian "excess profit" cases are now public. These cases are complex and wide-ranging. In this article, we focus on the connection that the European Commission makes in these cases between the Treaty on the Functioning of the European Union and the arm's-length principle.

Along with the Treaty on European Union, the TFEU is one of the primary treaties governing the EU that stem from the signing of the Treaty of Lisbon in 2007. The TFEU forms the basis of EU law, setting out the scope of the EU's authority to legislate and the basic principles of EU law. The TFEU itself originates from the 1957 Treaty of Rome, which first established the European Economic Community, the group that later become the EU.

Several selections from the European Commission's public decision in the Apple case³ demonstrate the importance of the arm's-length principle to EU law:

In its judgment on the Belgian tax regime for coordination centres, *the Court of Justice endorsed the arm's length principle* as the benchmark for establishing whether an integrated group company receives a selective advantage *for the purposes of Article 107(1) of the Treaty* as a result of a tax measure that determines its transfer pricing and thus its taxable base. . . .

The purpose of the arm's length principle is to ensure that transactions between group companies are treated for tax purposes by reference to the amount of profit that would have arisen if the same transactions had been executed by independent companies. Otherwise, group companies would benefit from a favourable treatment under the ordinary corporate income tax system when it comes to the determination of their taxable profits that is not available to independent companies, leading to unequal treatment between companies that are factually and legally in a similar situation. . . .

The Commission does not directly apply Article 7(2) and/or Article 9 of the OECD Model Tax

Convention or the guidance provided by the OECD on profit allocation or transfer pricing, as described in Section 2.4, in its State aid assessment of tax rulings on profit allocation and transfer pricing. . . .

The Commission recalls that the arm's length principle it applies flows from Article 107(1) of the Treaty, as interpreted by the Court of Justice, which binds the Member States and from the scope of which national tax rules are not excluded. That principle therefore applies independently of whether the Member State in question has incorporated the arm's length principle in its national legal system. . . .

Article 107(1) of the Treaty requires the profit allocation method to be based on the arm's length principle. [Emphasis added. Internal citations removed.]

The commission followed the same reasoning in its previous decisions, perhaps being even more explicit about the link between the TFEU and the arm's-length principle. For example, in the Fiat public decision, it asserts:

the arm's length principle that the Commission applies in its State aid assessment is not that derived from Article 9 of the OECD Model Tax Convention, which is a non-binding instrument, but is a general principle of equal treatment in taxation falling within the application of Article 107(1) of the TFEU, which binds the Member States.⁴

Similar points are made in the Starbucks⁵ and the Belgian "excess profit"⁶ cases.

Interestingly, the commission also integrated this approach in its "Commission Notice on the notion of State Aid as referred to in Article 107(1) TFEU," released in May 2016 (still in draft form, although substantially edited since the prior draft in 2014) (the notice):

[The] arm's length principle necessarily forms part of the Commission's assessment of tax measures granted to group companies under Article 107(1) of the Treaty, independently of whether a Member State has incorporated this principle into its national legal system and in what form.

To be clear, the objective of this article is not to comment on whether the commission's interpretation

⁴Commission Decision of Oct. 21, 2015, on State Aid, which Luxembourg granted to Fiat, SA.38375, C(2015) 7152 final.

⁵Commission Decision of Oct. 21, 2015, on State Aid implemented by the Netherlands to Starbucks, SA.38374, C(2015) 7143 final.

⁶Commission Decision of Oct. 21, 2015, on the Excess Profit Exemption State Aid Scheme implemented by Belgium, SA.37667 C(2015) 9837 final.

³Commission Decision of Aug. 30, 2016 on State Aid implemented by Ireland to Apple, SA.38373, C (2016) 5605 final.

of the *Forum* case⁷ or article 107(1) is correct, but rather to highlight the commission's interpretation of each. According to the commission, the arm's-length principle is embedded in the provisions of the TFEU and, in particular, the provisions of article 107(1). Therefore, the arm's-length principle would be applicable to the member states irrespective of their domestic tax law or tax treaties.

Furthermore, the commission appears to recognize the usefulness of OECD guidance on the practical application of the arm's-length principle in a state aid context. This is reflected in the notice:

When examining whether a transfer pricing ruling complies with the arm's length principle inherent in Article 107(1) of the Treaty, the Commission may have regard to the guidance provided by the Organisation for Economic Co-operation and Development ("OECD"), in particular the "OECD Transfer Pricing Guidelines for Multinational Enterprises and Tax Administrations." Those guidelines do not deal with matters of State aid per se, but they capture the international consensus on transfer pricing and provide useful guidance to tax administrations and multinational enterprises on how to ensure that a transfer pricing methodology produces an outcome in line with market conditions. Consequently, if a transfer pricing arrangement complies with the guidance provided by the OECD Transfer Pricing Guidelines, including the guidance on the choice of the most appropriate method and leading to a reliable approximation of a market based outcome, a tax ruling endorsing that arrangement is unlikely to give rise to State aid. [Emphasis added.]

The public decisions follow this approach, with the Apple, Fiat, and Starbucks decisions all stating that the OECD framework "provide[s] useful guidance to tax administrations and multinational enterprises on the application of the arm's-length principle" (quotation appearing in all three decisions).

Summary

For our purposes, two important conclusions can be drawn from the European Commission's state aid investigations and draft notices:

- the commission takes the position that the TFEU itself directly requires the enforcement of the arm's-length principle; and
- the commission acknowledges, at least implicitly, the relevance of the OECD guidance on the application of the arm's-length principle.

⁷*Belgium and Forum 187 v. Commission*, joined cases C-182/03 and C-217/03 (CJEU 2006).

The CCCTB and the Arm's-Length Principle

We now turn to the second major international tax initiative undertaken by the European Commission, the CCCTB.

The CCCTB relies on a different approach to international taxation. It is a system under which consolidated profits would be allocated to jurisdictions based on an arithmetic formula defined by law or regulation. More specifically, the CCCTB proposal indicates that "[t]he formula apportionment for the consolidated tax base should comprise three equally weighted factors, namely labour, assets and sales by destination."⁸

Can a formulary apportionment be consistent with the arm's-length principle? We do not believe so. Rather, the formulary apportionment system is an alternative to a system that relies on the arm's-length principle. While the system might result in arm's-length outcomes in some circumstances, that is only by coincidence.

The commission has acknowledged the relevance of the OECD guidance when dealing with the arm's-length principle. The OECD's transfer pricing guidelines⁹ explicitly dismiss global formulary apportionment and other "non-arm's-length methods":

Global formulary apportionment would allocate the global profits of an MNE group on a consolidated basis among the associated enterprises in different countries on the basis of a predetermined and mechanistic formula. . . .

The formula would most likely be based on some combination of costs, assets, payroll, and sales. . . . Global formulary apportionment has been promoted as an alternative to the arm's length principle. . . .

OECD member countries . . . do not consider global formulary apportionment a realistic alternative to the arm's length principle.

In the authors' view and, most importantly, according to the OECD, formulary apportionment is unequivocally distinct from and inconsistent with the arm's-length principle.

Conclusion: No Easy Way Out

In summary, the European Commission, in the public decisions of state aid cases and in other material, adheres to the view that the arm's-length principle stems directly from fundamental European Union law. The commission also acknowledges (at least implicitly) the relevance of the OECD guidance in the application

⁸Proposed directive on the CCCTB, *supra* note 2.

⁹OECD, Transfer Pricing Guidelines for Multi-National Enterprises and Tax Administrations (2010).

of the arm's-length principle. The OECD itself considers formulary apportionment different from the arm's-length principle. The CCCTB is a formulary apportionment system. Hence, the CCCTB contravenes the arm's-length principle and European law as recently articulated in the commission's state aid decisions.¹⁰

Not one observer has dared to predict an easy future for the practical implementation of the CCTB, let

alone the CCCTB. Technical difficulties and the conflicting political agendas of member states are likely to make the application of the CCCTB a daunting task. Further, and perhaps more importantly, one of the biggest obstacles for the implementation of CCCTB could come from within the commission, specifically, the positions it has taken and the competition policies it has applied.

The principles of the CCCTB, as now contemplated, lead to non-arm's-length situations and would seem to violate the fundamental principles of EU law. ♦

¹⁰Please note that this is all the more true because the European Commission in its recent decision does not seem to consider the group effects.